TTU153: Why Investors Keep Getting Trend Following Wrong ft. Patrick Welton

Podcast: Top Traders Unplugged

AI Executive Summary

Core Thesis

Success in investing and trading is not derived from predicting market movements, but rather from being prepared for the un-predictable through rigorous discipline, preparation, and an understanding of market mechanics over predictions. For managed money, specifically trend following strategies, the primary shift required is moving from optimizing solely for risk-adjusted returns (prop trader goals) to meeting diverse client allocation needs, including volatility targeting and capital smoothing. Pat Welten argues that sustainable long-term success depends on adhering to a disciplined "Four S's" framework (Setup, Signal, Sizing, Symmetry), maintaining steady-handedness, and avoiding narrative traps that lead to style drift or ignoring market edges based on client feedback.

Key Arguments & Data

- **Moral Obligation vs. Prop Goals:** Transitioning from proprietary trading to asset management creates a fundamental "moral difference." Prop traders maximize their own risk-adjusted returns (e.g., Sharpe Ratio), whereas managers must prioritize the specific goals of external allocators, often requiring volatility targeting and consistency rather than maximum upside exposure.
- **The Profitability Trap:** The "tragedy of managed money" occurs when investors watch performance too late, leading to entry after confirmation; this leads to time-of-cycle shifts where returns are lost rather than captured.
- **Volatility Targeting Evolution:** In the 1990s, the firm traded a diversified medium-term trend program with volatility averaging ~15 vol (ranging 10-20 vol). Later adaptations in the early 2000s involved volatility targeting specific segments to better match professional allocator needs regarding risk exposure and drawdown protection.
- **The Four S's Framework:** Successful trading systems require defining four steps:

    1. **Setup:** Trading condition that raises probability for edge exploitation.
    2. **Signal:** Clear rules for entry and exit.
    3. **Sizing:** Includes risk management, forward opportunity, and position sizing.
    4. **Symmetry:** Ensuring asymmetric advantage (winning larger than losing or entering with synthetic asymmetry).
- **Market Return Decomposition:** Trend returns come from four distinct components: Economic Trend, Financial Carry, Information Diffusion, and Reflexivity (feedback loops). Returns are often driven by term structure premium rather than simple price direction.
- **Replication vs. Mechanism:** Mathematical replication of market trends can improve performance via smoothing and reduced rebalancing churn compared to retail products. However, "productizing" replication often leads to narrative traps (e.g., lower fees) without the underlying edge protection needed by institutional investors.
- **Capacity and Liquidity:** True capacity limits arise when execution costs rise objectively; this occurs when flow data shows rapid movement into smaller markets (slippage). Trend following is less sensitive to Z-erps (zero-sum arbitrage environments) but highly dependent on market structure liquidity.
- **Regime Changes:** Market regimes are imperfect processes, not precise predictions. Trends often work across different regimes because they rely on carry and reflexivity rather than specific economic indicators (e.g., money supply M1/M2/M3), though information diffusion changes over time.

Actionable Takeaways

- **Define Client Objectives:** Before designing or managing a portfolio, explicitly determine the client's allocation style (allocator vs. investor) and target volatility profiles to avoid "style drift" for growth sake.
- **Monitor Execution Costs:** Regularly review execution costs across different markets; an upward trend in slippage is often an early warning signal of reaching capacity limits.

- **Apply the "Four S's":** Audit your trading systems against the Setup, Signal, Sizing, and Symmetry criteria to ensure structural discipline over reactive decision-making.
- **Prioritize Stability:** Focus on "steady-handedness" (reducing emotional reaction/shaking hands) as a primary driver of compounding, acknowledging that investors switching on performance often incur higher costs than the strategy itself.
- **Resist Narrative Drift:** Do not alter your core edge based on marketing feedback or client demands for "predictable returns" if it conflicts with market reality; maintain the system regardless of whether current trends are visible in a specific data set (e.g., bond yields vs. equity prices).

Full Transcript

It's the usual tragedy of managed money to watch people watch performance wait for there to be enough Confirmation and confidence get in a little bit too late and put themselves on a right shift of time off cycle Welcome to top traders unplugged in markets success doesn't come from predicting what happens next It comes from being prepared for what you can't predict In each episode we go deep with some of the world's most thoughtful minds in investing, economics and beyond to understand how they think, how they prepare and how they decide and the experiences that shaped how they see the world. No noise, no shortcuts, just real conversations to help you think better and invest with confidence. Hey everyone and welcome to another edition of Top Traders Unplugged where today Alan Don and I are delighted to be joined by Pat Welten founder and CEO of Welleson Investment Corporation as part of our series focusing on the one investment strategy that we have dedicated pretty much all of our careers to, namely trend following and manage futures more broadly. First off, Pat, it's really great to have you on the podcast. Thanks so much for joining us today. We really have been looking forward to our conversation. I hope you're doing well. I am doing well and thanks for inviting me. Well, actually, maybe more importantly, as I told you the other day, thank you for all you do for the trading community, you've probably built the single largest and best resource to help traders and investors that they could find anywhere. That's very kind of you to say. Thank you so much. And of course, we do it because we have contributors like yourself. So that's how we can do it. Alan, it's also great to see you. How are you doing? How is Dublin treating you? Dublin is very good yet great to be on and looking forward to speaking with yourself in part. I'm sure we'll have a lot to delve into.

Yes, absolutely. Now, before we get into all of the different topics we're going to be discussing, I would like to set the stage a little bit for our conversation so that the audience knows a little bit about your background. But instead of doing the usual list of places you've worked and all that stuff, I was hoping that maybe you could tell us about maybe two, three pivotal points in your career where you experience something profound that shaped

how you think about investing. and maybe also kind of led to where you are specifically today. Wow. Well, you know, when you're 65 years old, there's definitely been a few pivots, especially in this industry. Tell me about it. You know, I think for those who know me and know that I'm a physician and know that I started a hedge fund years ago and the usual three pivots that I get asked about are something like why medicine, why trading and then when they hear those then the most perplexing one is they say why both. So we could delve into those. Why medicine is a pretty short story and mostly about working in a cancer laboratory and why trading really is a life pivot because that really is also how fortunate I was to meet my wife and co-founder Annette.

Why both is it's a multi-legged story, but the capstone of it was probably a very kind Paul Tudor Jones that and I went to visit many many many years ago that gave us some resolve afterwards. So I'd like to delve into any of those. Yeah, actually You know, because you have a very interesting background and obviously it dates back to the commodities corp days. And many people don't really know how important I think that that company was. Not that I want to spend too much time on it, but I mean, of course it could be fun and interesting, maybe just to hear one or two short stories. You had mentors, you mentioned Paul Tudor Jones.

I think you know John Henry, there are others that are very well known people from our industry. If you have a few things you can share, that would of course make it very, very interesting. That will probably help condense 40 years into a smaller number, but so sort of spinning my way up, I ended up changing initial college studies into medicine, received a grant for a... medical scientist training program, which led me to UCLA, which is also where I met Annette, the very first person I met at UCLA. So I've warned young people for years be very careful who you get into an elevator with. You might be there for a long time. And that subsequently led to really, I think to some degree, us trading personally to make some ends meet, but with Annette's entrepreneurialism and sort of striving, we ended up getting discovered, if you will, when we were up in the Palo Alto area, when we since moved to Stanford. And one thing led to another and we were introduced to Commodities Corporation. So we learned about them much like somebody today might. If you roll back into the late 1980s,

Commodities Corporation I think could reasonably be thought of as the very first multi-strategy.

pod shop of traders. I think of them as much more dimensional than that, though, because they also were very explicitly in the business of developing trading talent. They had senior traders. They had that oftentimes mentor juniors. They had facilities that, you know, helped junior traders work. And one thing led to another and we were offered a contract to trade for them. So while we were trading for ourselves initially and thinking we might be saving up some money for some kind of opportunity to explore later in life. It turned out the trading itself became the opportunity when we turned professional and started trading for them. And that really sort of leads to the mentorship that we learned from many other traders. And there are many others that we met and we learned a lot from some of the very biggest names in the industry.

that you and I might know, some of which aren't even in the industry today, for instance, like John Henry. But there was one episode, we were still thinking about medicine as a primary career and trading was just on the side. It was just simply a profession for us. And we hadn't really thought about developing a separate company, but I do remember when we, in 89, we had sort of had a really good start with CC. We were... allocated more money every quarter as we hit return targets. By 1990 or so, we, you know, we're trading sort of more and more money and met more traders along the way. And it was about that time that Elaine Crocker, who was the head of commodities corpse trading at the time, called ahead for us and said, we should really meet Paul Tudor Jones. And so she brokered that. And though it was long ago, Paul was already very famous as a trader even that many years ago. He was just a standout natural talent. So we really looked forward to meeting him. And I still remember that day because we arrived and one of his colleagues, I think his name was Sean Metis and he guided us in and showed us about the office. We waited for a little while and sort of in the distance, we could see At one point we could see Paul very sort of engaged, intensely engaged on a phone, screen, you know, looking at something walking about. And we were delayed and delayed and delayed and we were thinking we might be meeting him for a five minute handshake or something. But after about 15 minutes, just this remarkable thing

happened. He sort of came out of his office, all intensity was gone. He was fully gracious and welcoming and kind and, you know, apologizing us.

to us as sort of trading nobodies from Kamali's corporation for his being late. And then almost instantaneously, he offered us one of, I think, the greatest trading lessons we ever learned. He said in this sort of marvelous Southern Memphis accent that he had at the time, which was much stronger than I've heard him recently on interviews. But I still remember him saying, no. He says, Pat, Manette, he starts going on one thing. is that when you start trading size, you can't only think about getting out when you want, you have to get out when the market lets you. And from there forward, I could never sort of unsee the obvious that markets weren't math, that there's somebody on the other side of every single trade who at that moment believes they also have an edge. And I'm sure as we wander on other topics, that theme is gonna come up again and again. Market structure, matters. The second thing we did was we walked around his office, had this marvelous tour, his graciousness, humor, all everywhere telling us one short story after another. And he's pointing out the desks and pointing out the facilities. And then he said something like, which just from memory was something like, you know, when you grow, you need more things, you need more people, you need more capital.

He said, and then it starts getting funny. And so now we have manuals for this, we have manuals for that. And now we have manuals for all the manuals. And of course, we're all laughing at this point, but we left that meeting and the lesson was really clear for us, was that trading was only one, one component of building a professional trading firm. And we digested those lessons for years and ultimately that's after sort of processing, then we we decided that if we built a small firm, you know, even if one that was a tenth or the twentieth the size of Tudor, that we might be able to fully separate the missions of medicine, whether they were practicing or teaching or research or any combination from money, you know, we could solve for them separately. And so afterwards we decided to build a small firm and we began taking in outside money and that's what Welton is today and even a retrospect it seems naive, but it's exactly what became true and it's been a guiding principle for us since the start. Wonderful. Wonderful story. Thank you so much for sharing that. I have to

say, I think these stories from around the time when I began as well, I think they're so important and there are some people in this industry that have really got some amazing lessons that they have shared along the way. So I appreciate that.

Now, Alan and I and you, we spoke a few days ago because you brought along a lot of great ideas in terms of what we could be talking about. And what we have done since then is we've kind of tried to divide topics up into the usual headlines, if you like, that we normally talk about when we do this particular series. And so what I will do in the usual tradition is I'm gonna kick it over to you, Alan, to start off. Great. Well, maybe to pick up on that, I suppose, evolution that you talked about past, you know, in terms of medicine to trading. And then I suppose what came next was an asset management business. And obviously it was one of the themes you kind of touched on in your own notes, you know, the transition from being a prop trader.

To running an asset management business which you've mentioned again there so just curious maybe if you could delve into that a bit more obviously when you run an asset management business there's the old business site. That comes with that in terms of compliance and sales this is about etc but i'm more interested in kind of the the risk management and the trading how does that differ when you just trading as a prop trader. for yourself with purely just yourself accountable to, to then think about, okay, we're going to get into the business of managing risk and generating returns for outside investors and how that evolved and how you've told about that over the years. You know, I think that's a question that doesn't receive enough attention. And we sort of, or if it does receive attention, it's the mechanisms of building the firm, kind of the lessons we introduced.

the compliance, the operations, the regulations, etc. But that's not really the big difference. I think the real big difference is a moral difference. When you're a proprietary trader, and to make it easy for yourself, you would have one set of goals and hopefully they've been sharply defined. Because if they're not, that's going to be a principal weakness and we could talk about that separately. But I think the minute you take in outside money, You really take in the moral obligation that it's their goals that are most important for

what you do with that money, which shapes everything. It shapes the very heart of the question you just asked, how is risk managed in their particular world? If they're more like an allocator than an investor, they might want something that is more consistently exposed and more constant and targeted volatility as it would be known today.

If they were more of an investor, they might want more exposure when there's a better value or when there's a better forward return profile and less exposure when it's weaker because there is a sense of wanting to have your investment size proportionate to return. But I think it all stems from really that moral difference that the day you take somebody's outside money is the day you make their goals the number one goal. If you were turning it into any kind of a formula, The formula is probably different because most prop traders for themselves are probably thinking something on the order of a ray rock, right? A risk-adjusted rate of return on capital. So, they're thinking dollars more than they think in percents. I mean, with that in mind then, obviously, does that, presumably it informs you of the kinds of programs you offer and the blends and the levels of volatility and everything that goes with that, presumably? Absolutely.

And it has over the years. You know, when we first began trading outside money, we traded what would be classified today as more or less a diversified medium term trend following program with a few shorter term elements in it. That was not traded at a fixed volatility. The volatility would ebb and flow within a range, though its average volatility would be in Well, approximately about a 15 vol in the 90s, but that might be 10 vol when there was less opportunity and 20 when there's more, something like that amplitude range. Later on in the early 2000s, there were, I still remember actually a very pivotal meeting. I was speaking for one of the French bank circuits that were popular at the time. And after my speech, we were gathered in one of the restaurants.

in the hotel outside of Florence and three pretty well-known people in the industry, maybe even people who've been on the podcast at one point in time. I remember us all being at the table and them asking a really serious question. There's like, why when I have an account with some professional traders, do I seem to lose money three or four times faster than I make

money? And I of course thought it was an observation, a feeling, maybe some griping. But when I left, went back and looked at track records other than ours and looked at what would be likely in different products, it was exceptionally true. And the early industry at the time, I don't think, was as sensitive to some professional allocator's needs for the fact that when there was...

And once they took positions when there was rising volatility, which oftentimes was accompanied by rising correlation, that the overall net exposure was rising and that it wasn't poor timing, but that a reversal in some cases was approximately three or four times faster in equity P&L. I don't think you see that in track records today because in the early 2000s, many people, including ourselves, began volatility targeting the portfolio or volatility targeting segments of the portfolio to mute those kinds of responses to make it more compatible with professional allocators dedicating exposure. Interesting. I mean, it is a topic that we've had on, you know, in different guises over the years. Fall targeting or not, or, you know, should, even the kind of idea of pure trend versus more diversified systems, it sounds like from your perspective that you do really have to solve for investor needs more so than shooting for the Maxibon Rayrock. I think it's the only way you can go. I mean, I've had investors, savvy investors, who I remember getting a call when they would call and double the size of their account. I was almost certain that that was the end of any industry drawdown. They were so good at it. Or when they took half off the table, that essentially it was time that the current party of the day was over. There were others that could never find that sense of value in investing. It's the usual tragedy of managed money to watch people, watch performance, wait for there to be enough confirmation and confidence, get in a little bit too late and put themselves on a right shift of time off cycle. It doesn't really matter if you're taking outside money, I still think you just have to do the best job for every single allocation that you have. But by no means, I think, can you group them all in the same bucket. They really, I think, have idiosyncratic and important differences in their organizations for how they've designed their portfolio, how they consider your contribution, how they even capitalize that contribution.

things that I know you both are very expert at. Can I jump in here in this particular topic? Sorry to do that, Alan. But here's something interesting. I think we've heard from many industries and I certainly remember from conversations that I've had with our colleagues in the industry that I think people would question that customers or clients actually know what product is best if I can define it like that. And so I think I know what you're referring to, Pat. And I think from a purely business perspective, clearly, if you only have products nobody wants to buy, there's no use in that. On the other hand, I think our industry is trend followers. It's probably not the most liked investment strategy out there.

But it offers tremendous value. But I think part of that value actually comes from us doing it the way we think is the right way to do it. And then the data will support investors making a location to it. So I don't know if I misunderstood what you were saying or whether you agree that Certainly, if we're just talking about pure trend, we can get to how you can diversify away from trend in a second. But certainly, if you think about pure trend, it's probably not going to have the profile that most investors say, yeah, I love that shape of the return stream. But on the other hand, it's an incredibly useful property to have in a traditional portfolio. Do you know what I mean? I not only know what you mean, but let me Let me take it a little further and see if you agree. When I say there's a moral difference of understanding the client's goals, I use those words on purpose because what the client exactly wants isn't necessarily always what their goals are. And I think there's a listening phase there. And one of the most pernicious and damaging things I think traders have done to themselves is to respond to marketing feedback.

In the hopes of growing their business, they end up changing what they do. And if we rolled back the clock 30 or 40 years, there would not be 20-page pitch decks. If you were interviewing a trader, the four seminal questions were always, what's your edge in the marketplace? How and where are you going to exploit that edge? What is your risk management or position sizing? And just when you thought you were done with the interview, The last question was, and how do you protect your tails? And the minute and trend followers have done it, hedge funds have done it, it's pervasive. Private equity groups have done it. They get into the marketplace, they hear

some feedback and they start to try to change what they do. And a trend follower has a very, a pure, I think the way you use the term, a pure trend follower has a very specific edge from agnosticism. And there are nuances along the way.

But for the most part, the setup, the signal, the position sizing, the asymmetry of positions, all of those things rely upon multi asset class, multi directional participation. You get, you offer the client the ability for them as they're invested in singular asset classes long. You offer them the possibility as capital moves from one asset class to another. from one sub-asset group to another, from long to short, from long to flat, from selling one to buying another, which inherently of course is obviously a short, a synthetic short and a long. You are picking up return as that capital moves over months and quarters. It brings the convexity that is so valuable. It brings the skew that's so valuable, at least on the timeframe of quarterly and semi-annually, which is another discussion of how those terms are sometimes confused. And If there's a reflexivity in the marketplace in pricing, which is strong and there is, there's still a reflexivity in the managed money business of managers conforming to what they think clients need and then clients changing what they want based on what they think they heard managers evolving to. And I think the true North Compass needs to always come back. Is there a market edge? Because if it starts to drift from that edge, results are just going to get worse.

You mentioned a few S's there. I think we probably should dive down maybe a little bit further into those S's because I think one of the things that I hope we're gonna do today is also to kind of get your take on the narrative side. I think this is something we've talked about for years how difficult, it has been for our industry to really maybe explain well enough the benefits and so on and so forth. We know narrative is incredibly important, but maybe we could just start with the kind of the four S's that you refer to and take it from there. Well, you know, the four S's is helpful. It's not a complete framework, but it's a helpful starting framework.

anyone who wishes to trade in that it's part of the mechanism. It's not really part of, I think, of a grand or narrative. We probably should park that for a separate question. But if somebody is trying to set up a successful trading

approach, and it probably works for discretionary, systematic or both, but let's just confine it to systematic for now. Normally, the four S's would need to be satisfied. You'd simply have to ask yourself, what is the setup for your trades? Are you trading continuously or is there some form of a setup you're looking for that raises your probability in a Bayesian sense for when you wish to exploit your edge? Two, second S, what's your signal? What makes you get in? What makes you get out? Three, what's your sizing? This is sort of synonymous with risk management, but I'm sizing now includes forward opportunity and risk. And then two, what's your symmetry?

Have you entered a trade with an equal wind loss balance or have you entered a trade either directly or synthetically where you have an asymmetric advantage? And that's what I really meant by the 4S's. I think those are more of a practice, a discipline of understanding how to put together a trading system that has well-defined steps and there's an infinite number of those solutions perhaps. But the better defined they are, and I think if a trader or an investor soul searches their answer to each one and understands why they're doing it, they will also stick with it, which maybe gets back to another one of the early trading meetings I had. I remember when Annette and I drove down the coast, we lived up in Palo Alto at the time when we drove down and met John Henry in his early office back then. Back in those days, he was in Newport Beach right next to PIMCO. And we'd met him once, then we met him a second time. And I still remember him saying something to the effect of, had the difference between our success and other peoples is that we actually follow our system. Or, and then the other thing I remember him saying was that we could print, we could, print our system on a billboard on Highway 101 and not have to worry about anything because no one will ever follow it because it's not theirs and they'll have no confidence in it. Which really means you have to, you know, the trader or the investor and the methodology, they have to pair themselves with a degree of confidence. But there's really no way to exploit that edge through time. They can't navigate the seas when they're rough or even when they're calm. But the 4S has helped there. I don't think it sells the narrative though.

I think there's a little hook in the narrative part, because there are a lot of managers and a lot of analysts for allocators who dive into the mechanism

almost right away. But because it's, I think, relatively, it's both unemotional and unattached to any rationale for success. It's more just facts and not reason. I don't think over time there's been very many compelling matches between an investor and a manager based strictly on what do I do every single day? What math do I invoke? What formulas do I use? I think for the most part they're either unappreciated, unmoved or quickly forgotten. I want to bring Alan in the second here because I also think it's relevant to talk maybe about regime shift and so on and so forth. But just staying on this topic for a little bit longer, You describe the four S's, there's more to it. And then you also talked about, well, if it's not kind of your system, people probably wouldn't do it, even if you told them the rules. Now, this is a bit of a stretch. And I might get into trouble with some people that we know well. When I say replication, comes to mind in a sense that, well, they probably solved the narrative. Let's start there. But it's not really their system because they are not using the underlying rules. However, some of them at least have been pretty good at mimicking the returns, depending on how you define that, of course, or at least the correlation maybe they've been able to mimic.

So I'm curious about your thoughts on replication. Well, I think I would separate replication from the mechanism of replicating and versus the productizing of replication. I think one of those is a valid mathematical way of formulating a systematic approach. And it's something that almost every trader does one way or another. Even a trend follower, for instance, does not trade primary cash bonds or primary cash commodities, mano a mano with other counterparties, when they're really waiting for price, smoothing price, and deciding some formulaic way of deciding whether to say there's an uptrend or a downtrend. That's really replicating the actions of others through the reflection of the information of the price signal, which is then typically smoothed and brought in.

There's not much of a different step to then say the P&L of another trader is now just a price signal that then is used to replicate usually by some form of regression technique where it's done. And it's been done in many, many areas. I mean, I don't think any of your sophisticated audience would be surprised to learn that an S&P 500 index fund doesn't have to own all 500 stocks at any given point in time to replicate. the S&P 500. So I just

separate that because we've actually done some very specific work to replicate some of the replicators. Mainly to ask our own questions. We wanted to see what are some of the reduced minimal market set sizes that replicate, say the trend following industry? Is it similar, for instance, in some of the popular ETFs that are used?

some of those ETFs have changed their market set over times. If they hadn't, would there have been much of a change? There would not have been, by the way. If we do replicate the replicators, we actually end up with better performance. But that's probably not too surprising because we end up with a little better smoothing coefficient. And we probably end up with less churn for rebalances at the end of the day. And if we're fully funded, you'd have probably lower fees and better cash management. So, you know, if an institution wants to do 500 million, they don't necessarily have to go into a retail product and they could get the same idea. The other part of replication, of course, is sort of the less savory part. It's the narrative story. It's the hero's journey, if you will. Somebody has to come along and, you know, solve the problem. You know, the rapacious managers are charging too much money. They're too opaque.

And we're going to beat them at their own game, and we're going to sell this much lower, et cetera, et cetera. And it certainly worked for Jack Bogle. He wasn't in the hedge fund world. He was trying to give consumers a better deal. It starts to stretch, though, as you get more and more into the very, very active ETFs. At some point, that gets to be a fuzzy margin of extracting costs, which is clearly true when you have a three or five basis point product. or whether or not you're simply trying to carve another narrative niche out and finding a sensitivity point. And some allocators, the overall cost or the manager selection risk, those are two failure points for some of the professional allocation staffs that exist in the world. So solving for those two would definitely appeal to a large number of people. Sure. Alan, sorry, I hijacked the conversation there.

Yeah, I'm just curious. You know, you've obviously been in the market so many years, and you know, you've actually started off trading in college, I think you said, and then had a big focus on trend following. The Hunt Brothers Silver Trade, my first trade. Okay. So here you go. But you've had

programs in kind of what macro type programs, short term, equity, you know. I'm just curious where your philosophy around markets and investing came from. Was it an observation on behavior or just an observation on what works or something that has just evolved in markets? And what underpins that to give you confidence that these types of strategies will continue to work going forward? Yeah. I think that goes back to Niall's question of if we were to want to improve our narrative.

at least for some classes of investors, would we stay with the true statement that trends are behavioral, but then be willing to defend the fact that the non-trending periods are also behavioral and the periods of high liquidity are behavioral and the periods of low liquidity are behavioral because the markets are the sum of the participant behaviors. All true. I think sometimes the Those kinds of explanations just simply aren't enough for the types of people who are listening, who either if they've had sort of CFA in securities training, they're listening one way. If they've been entrepreneurs or it's family office wealth, they're listening from a different point of view. Perhaps if they've had technical or engineering type backgrounds, they're listening from yet another point of view. And I think that it took 10 or 20 years of a lot of disciplined work And especially as we began trading for individual clients of volatility our program we traded a stat our program Thousands of trades per day for a while. We've traded trend following Really to come back and say I think the best narrative After you after some form of a story of a character overcoming a challenge That's the thin layer The next layer I think comes with, can you really tell me where the returns source from? I'm a student of the markets, where do these returns come from? And I think from trend following, we've been quite successful decomposing trend returns into true counterparts. I think that there are four, if we stick truly with trend following, which I'm going to define now says holding positions through time for a profit.

I didn't say long or short. I just said holding positions through time. With one more feature, some form of buying strength and selling weakness. That's what the following part means. We're not predicting. I think one can decompose returns into the components of economic trend, into financial carry, into information diffusion, and then into some form of reflexivity in a cerosian term. or in an academic term, or just a feedback loop, buying

beaked spying. Each of those, it's different powers in different sectors. They have different time frames and clocks. And when I talk to investors and they need a natural metaphor, it's not a stretch for them to say, look, if you had a boat on the ocean, there isn't one source. The boat will move because it's in a current. The boat will also move because it's in a tide.

The boat will move because a wind is applied to it. A boat may also move because someone starts an engine. Now, all those could be all be in the same direction. They could be in the opposite direction. You can have a positive economic carry, for instance, in equity indices, which is extremely strong, but have face for the most of the time a negative financial carry and still come out of head in something that has very little... influence of a long-term economic carry with a strong financial carry. One could look at, say, roll premium and fixed income contracts. If one does a pretty careful decomposition of trend, one will find that the majority and in some cases the vast majority of returns will be accumulated term structure premium, not so true in other markets. But those four components, I think, way beyond the scope of our one-hour podcast, we could spend entire times decomposing returns and showing those return decompositions and why a trend follower picks them up and why a trend follower picks them up agnostic because they do flex, they do change and they can have unexpected directionality. There's a great story of 2013. I remember in 2013 is not unlike a little bit today and in that everyone, everyone was writing how much bonds will go up.

and how much interest rates will go up and to get ready. And of course, what happened in 2014, interest rates went down the entire year and trend followers made 20 or 30% and almost everybody else missed on their predictions, but they were still happy because if they owned bonds, they went up. So trend following has a very powerful meta cognition of all these returns, but I think if you're trying to explain it and the person has an economics or investment background, showing the return attributions plainly that they could even derive on their own or they can see how they are derived independently from the opinion of the trader. I've seen light bulbs go off and people's had like, why didn't somebody just show me this years ago? Now I get it. And they get everything. They get why the

correlation is zero. They get why it's positively convex. All kinds of things happen positively.

And that kind of high level justification, you think that's the same to different degrees. I mean, maybe you might weigh those four factors differently for, say, short-term trend following or systematic macro signals. I think the answer is true in both cases. So, almost by definition, something that is some form of a carry, like an economic carry or a financial carry, I'm essentially saying something that those positions benefit by time. Your ownership through time is what accrues profits. So if I make something short-term, I'm essentially taking those out of the equation. Back to a water analogy, if I'm swimming downstream in a river, I can swim faster with the carry than I'm swimming upstream against the carry. That will matter if I'm swimming for 20 hours. If I'm swimming for three seconds, the carry doesn't matter very much. So short-term definitely...

spends more time not only in the information diffusion and reflexivity, but it also begins to pick up other terms I didn't include in trend following. Because the impact of flows, accelerating flows, periodic flows, rebalancing flows, these kinds of more market mechanistic I think are far more useful in the time frames of say less than 10 day holding periods. As a matter of fact, there have been very few instances except for very large contracts, large dollar volatility of the contracts, oftentimes with large point values in those contracts, where you can parameterize any type of a traditional trend following mechanistic approach and make money with very short-term holding periods, three days, four days, five days. Even in academic studies, when they look at short-term, trend following, usually the holding periods are closer to a month on average. There's just a very narrow window where by the time you buy strength and sell weakness, what's left in the middle is your potential profit. And if you're only in the market for three days or six or five, other techniques work better. And we've learned that and experienced that, but we've also focused a lot on it. We love trend following. It works. We love macro.

systematic macro trading because it works. And what I mean by that in this case is definitely is a full separation. Trend uses price, the macro trading uses only cross-asset signals, fundamental signals, government reports,

alternative data. The short-term data, the short-term models are all principally focused on flows with holding periods far less than 10 days typically. And in our particular firm, we also would include things like relative value trading where we are very specifically trying to create neutralized baskets that are really helpful to our main portfolio, a main portfolio in macro or in managed futures. Some will pick up large-scale thematic risks, direction of US interest rates, direction of US equities, direction of energies. And there's a natural construction where you can build, say, dollar neutral currency basket. Now you're not stacking on top of your dollar risk. You can pick a rate neutral interest rate basket. You're not stacking on your DV01 or commodity neutral basket and you're not just landing on top of broad based. So that adds diversification. And I guess as long as I'm actually addressing it, the fifth thing that we do in our multi strategy is a dedicated risk off sleeve, which is only designed to sell.

equities when there's a rapid rise in flow data that shows us to have hedging and mispricing activities. When people are willing as an edge to give us money to neutralize their risk, our edge rises, and it helps our clients. Now, Pat, you mentioned yourself there the word multi-strat. And of course we can see the rise of multi-strategy funds in the past, call it 20 years, maybe even shorter than that. And I was wondering, because obviously my personal bias is trend following. Have you noticed, and I guess maybe it goes into some of the great work that Alan has been talking about in terms of regimes, but do you think that multi-strat funds at large and how they trade and I'm not an expert in that but it's not trend following at least not all of it. Do you think that that has had an impact on let's call it microstructure in some ways that is reflected on trend following or does trend following actually by being adaptive in itself kind of find ways to compensate for it even though for short periods of time.

It may get affected. How do you see that? Yeah, you know, this is the kind of subject matter that forms the basis of like financial journalism. And then when one wants to really dive into it, it's harder to substantiate the information. I think, what do I think of multistrats? I think for the right clients, they're a wonderful idea. I think many clients don't have the skill or the time or the budget, yet they have the desire. to have a real alternative allocation and a vigorous sort of multi-strategy product providers are there

to provide it for good or for bad, expensive or cheap. We're not really in that realm because we now only focus on futures and foreign exchange. So in our multi-strategy approach is still at the more macro and individual derivative level, but I would say That's bullish for investors overall because I think all investors if we looked at a hundred trillion dollars and allocatable capital around the world are massively under allocated to alternatives not over so My question was a little bit different. I think I was looking for with your experience the way you look at Say being a trend follower for part of what you do whether you think the size of these funds and the way they trade has actually made it more difficult to be a trend follower, meaning? No. Okay. No, not at all. I think the majority of trend following returns have been driven by accumulated economic and financial carries and information diffusion over months, if not semi-annual to years, none of which Which is definitely affected when you go into a Zerp environment. It's definitely affected when it spreads from in G7 environments all become extremely narrow and there's virtually no difference These are these are massive differences for trend following. Yeah, not the type of trading may I think a lot of the trading at the high leverage shorter term more arbitrage level is more in the concave surfaces of markets That exist not just at the microstructure, which might be more you know, market making, high frequency, or the medium microstructure, like, say, StadArb. If anything, for most trend followers, it's either not seen or it may even be providing a liquidity pool. True. Now, before Alan jumps in, just one other thing, and of course, I know you sense my distinct bias for trend following here, but I'm curious again, Is there something you have heard being said about trend following that you really... I mean, what's the thing you disagree with the most when people kind of describe trend following? Oh boy, I'd love to give a clean answer, but I think it'll be a slightly nuanced answer because it depends who is providing the criticism. So for instance, I served wonderful...

but this is a wonderful man. So I served on a board with Bill Sharp for many years. And someone like Bill Sharp, he wouldn't necessarily have had a criticism of trend following. It would have been more like, why bother? If you're going to invest for 20 years, you're going to invest in broad assets, own everything in the right proportion with the right growth, because everything else at some point is noise. And that's simplified. answer, that's

not even a criticism. But that doesn't reflect the reality is, you know, if you go meet the allocation staff of a pension fund, if you go to a family office, if you're on the other side of an endowment and their consultant has them in a particular allocation and somebody does a Monte Carlo analysis say on their pension assets and they find out that a two sigma move on their pension plan, you know, might throw a 400 million liability onto a company that's got 60 million in P&L and earnings and they're just their head explodes. They need to have a better allocation strategically and one that can cover tail exposures better. And I think then when you get to people who are living in a world where very adverse moves that occur over quarters or years matter to them, Trend following becomes this invaluable tool if they use it, right? Again, how one allocates capital to it, how what's the opportunity cost to that capital? Is it, for instance, more like portable alpha? Is it fully allocated to at what volatility? These become all these mechanistic questions, but I don't think those criticisms are there. The one criticism that, not criticism, but the one I remember I faced, it was again one of the popular financial press narratives.

I was giving a speech, I think at Pension Bridge. I'm not even sure if it was the same year I was on a panel with Katie Kaminsky, who is just such a wonderful joy and a bulliant mind to be on a panel with, but it was one of those things where somebody in the audience asked me a question and they, at the time it was, our trend followers too big is their capacity problem. And I said, well, you know, but I'd like to just, I do this a lot with my graduate students and postdocs. Let's try a thought experiment and then we'll all decide at the end. I said, what if before speaking here, I had gone to the private equity shops up in Embarcadero and others and I had arranged financing to do a rollup of all the trend followers and CTAs that I could. And I had billions of dollars to buy their businesses. And I went around because I know them and called them and made them offers and the vast majority accepted.

And I now own 200 of the 250 billion worth of capacity. I bought them all. And I specifically did so with no consolidation, no operational, nothing. I said, please do what you're doing. You're good at it. I'd be a single trend follower with 200 billion under management. And my performance would be exactly the same than if I didn't. This whole narrative that a trend

follower can get too big and somehow the returns will go away. No, not if they compensate for it by the same thought experiment. What if you just diversify the number of approaches you have? Now, it wouldn't be a criticism. It might even be a compliment for someone to say, but if you did that, you would no longer have an edge to the industry. You would be the industry. And then they would be right in this particular case. But that kind of gets back to that's another way to replicate, if you will. You don't just have to follow. You could end up running.

hundreds of different kinds of systematic approaches and at some point you will become average. Maybe as a little follow-up question on that, if we then go to a company specific situation, and I think this is where, and you may not agree with this, but I seem to feel that over the last three or four decades, from time to time, we've seen companies that probably overstep their capacity. I was wondering from your perspective, how do you know as a manager that you've reached capacity? And again, let's just keep it simple. Let's just stay with trend that most people listen to the show, they know what it is. How do we as trend follows really know when it's time to stop trading more assets? Well, I think first of all, your premise is, demonstrably true. There are managers that have overstepped their capacity. Less so I think in long-term trend following than in other categories we could talk about that are more sensitive to capacity. So real problem, confounding that problem is that reflexivity we talked about between manager and client. If a manager wanted to add or diversify their methodologies to accommodate more.

size and to have less of a footprint in the market, they would be fighting the impression of style drift or of changing what they're doing in front of their clients. So that would require a very trusting dialogue, probably one that can't occur fast enough if they're raising assets too fast, because those kinds of changes practically need to take place over years for client acceptance, not if you have a good run of asset raising. But I think the real question is how do you tell and I think that I think everyone who's a listener pretty much understands that liquidity in the marketplace is the key question for any given market. And liquidity is dynamic. It's not consistently present. It depends on time of day market. And it really gets back again to there's a participant on the other side of each trade. In the generic terms, a large

volume of dollars trying to go in a into a smaller market more rapidly is going to press a market and cause a capacity issue. In this case, if we use that term, but just going to simply move the market, you're going to have slippage. Very small amount of money in a large market, slowly, and it won't. And so I think if people are very diligent about seeing the fingerprint of their execution costs and their execution alpha, and they begin to see their execution costs rise objectively measured and trend in a particular upward direction, they may have a capacity problem and it very likely could occur, it very likely could be noticed in a few markets, long before it's noticed in all markets, it might be noticed in a few markets. And then there are questions of whether that's short term or that's just a phenomena that the particular country or the particular currency is less liquid and six months later will return to its liquidity. Or it could be because there's just too much money there and it's too tough. If you're a metals trader, you could trade that much in copper, but you can't trade that much in tin and you're going to have to decide how to accommodate for that.

Alan, I know you have a heart cut off today. We've had a few technical issues along the way. So I'm going to give you the rest of our conversation. And you asked the last few questions that you want. You and I can talk anytime if you want. I think we will have to do a follow-up anyways. That's for sure. Just one theme. I mean, we have talked about this. We've talked about regime change. We've talked about... you know, new market participants, pod shops, market microstructure changing. You know, from a macro perspective, markets have changed since you started trading, you know, it's different 2010s for very different 2000s. Now we're into a new regime. So I guess the question is, do you just try and design systems that are robust regardless of how microstructure and macro factors might change over time?

Or do you take that into account and try and incorporate that into your research process? What do you see as a more kind of effective, robust way of having a research process, I guess? The answers, I think, are all yes. I don't think you can avoid not looking. In practice, if we were thinking of like a trend following sleeve, and there's a big question, why would you even want different strategies, for instance? Let's just say you do. If you look at the trend following sleeve and if holding periods are relatively long

and execution is extremely insensitive, meaning like for your listeners, if you had a trading approach that you could trade the next day or the next day and we have the same results, you have one that's relatively insensitive to market timing.

If you have one that if you delay by 15 minutes, you lose 20% of your PNL. You have one that's pretty time sensitive. And the ones that are more time sensitive and the ones that are, you know, their impact and microstructure obviously are a bigger research topic and a bigger capacity concern to your earlier question. And frankly have, I think, less margin of error. in forward application. You have to be humble enough to recognize which is sort of the key aspect to think of all trading is objectivity and objectivity, the emotional manifestation of that is humility. You have to be looking and then that fuels research. I don't know that the way I usually think of regime is it's more a bias because I'm used to that term more from the macro perspective.

are rates rising, rates falling, inflation up, inflation down. I think investors are both benefit from those regime considerations, but I think they also are one of the things that ends up fooling early investors, especially early quants. I think the first stage of somebody who comes to the market is somebody who thinks that when data changes in the market, that somehow the market moves. And they're constantly trying to model this. this sort of two-body problem. And then they do all kinds of sensitivity analysis and they can't figure out why sometimes this amount of unemployment report change had this big of a market move and in other times they don't. And relatively rapidly one realizes there aren't two bodies in the market. The data doesn't, and data changes and surprises don't buy or sell anything. People see those signals, people see those surprises, people see those changes and then people buy.

And there are entire regimes where some data is simply important and then later on it's ignored because it's felt to be... When I first started trading, the M1, M2 and M3 money supply used to be on the front page of the Wall Street Journal because everybody followed money supply. I think if I hired a new young person today and they necessarily had specific training in macroeconomics specifically, but were brilliant. The topic would never even occur to them unless it was brought up because today it's muted. And

so regimes are also what information is important, I think, to the trading community and the investing community at the time. And that fluxes over time. I think it's always will be an imperfect process. And I know you've done some, I think, great work in regime shifting and I know I've read your opinion, it is an imperfect process. It's a shift. It's not a precise prediction. But it falls into that category. What I said earlier is the setup. You might want to trade differently in a high inflation, rising interest rate, supply constrained world, then you might want to do a demand constrained, low interest rate, low inflation world. In fact, I would even assert that you should. But other people will find their own answer.

and then they'll get convicted by it. And if they stay with it, steady handedness, somebody asked me, what's the biggest input to compounding? And once I said, well, it's actually how much your hands shakes, steady handedness compounds well. The return gap, the negative investor alpha that occurs from people switching on performance is usually the biggest cost that they face in putting their portfolios together. Probably a good... a good way to end our conversation today. I feel there's definitely enough to talk about in a follow-up conversation. This was really wonderful. We've done a lot of these conversations and I think today again we learned something new. You spoke about things even though it's a well-known topic, but in a different way and it really benefits everyone listening. So I really, really appreciate your time and your insights. And as I said, I hope we will be doing this again in the not too distant future and to all of you listening today i hope you are also able to take something away from today's conversation onto your own investment journey and if you did please share this episode along with the others with your friends and colleagues from pat alan and me thanks ever so much for listening look forward to being back with you.

As we continue our conversations on Top Traders Unplugged and we continue deep dives into the CTA industry. And in the meantime, of course, check out the show notes for all these episodes where you'll also find links to Pat's firm and to Alan's resources as well. So anyways, as usual, let me finish up by saying take care of yourself and take care of each other. Thanks for listening to Top Traders Unplugged. If you feel you learned something of value from today's episode, the best way to stay updated is to go on over

to your favorite podcast platform and follow the show so that you'll be sure to get all the new episodes as they're released. We have some amazing guests lined up for you, and to ensure our show continues to grow, please leave us an honest rating and review. It only takes a minute, and it's the best way to show us you love the podcast. We'll see you next time on Top Traders Unplugged.

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